

Technical Aspects of Convertible Issues

THE THIRD DIVISION of the subject of privileged issues relates to technical aspects of each type, separately considered. We shall first discuss convertible issues.

The effective terms of a conversion privilege are frequently subject to change during the life of the issue. These changes are of two kinds: (1) a decrease in the conversion price, to protect the holder against “dilution”; and (2) an increase in the conversion price (in accordance usually with a “sliding-scale” arrangement) for the benefit of the company.

Dilution, and Antidilution Clauses. The value of a common stock is said to be diluted if there is an increase in the number of shares without a corresponding increase in assets and earning power. Dilution may arise through split-ups, stock dividends, offers of subscription rights at a low price, and issuance of stock for property or services at a low valuation per share. The standard “antidilution” provisions of a convertible issue endeavor to reduce the conversion price proportionately to any decrease in the per-share value arising through any act of dilution.

The method may be expressed in a formula, as follows: Let C be the conversion price, O be the number of shares now outstanding, N be the number of new shares to be issued, and P be the price at which they are to be issued.

Then

$$C' \text{ (the new conversion price)} = \frac{CO + NP}{O + N}$$

The application of this formula to Chesapeake Corporation Convertible Collateral 5s, due 1947, is given in Appendix Note 36. A simpler example of an antidilution adjustment is afforded by the Central States Electric